

Authority for Personal Data
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Dear Ms. Adriaansens,

In a letter dated March 19, 2024, the Authority for Personal Data (AP) was consulted based on the provisions of Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR) regarding the draft of the Implementation Act on Data Regulation (hereinafter: the draft).

The AP objects to the draft concerning the proposed Article 5 on the cooperation between the competent authorities where there is processing of personal data and advises that the procedure should not continue unless the objection is resolved.

Additionally, the draft gives the AP reason to make several remarks.

Main Points

- The cooperation between the competent authorities in relation to the processing of personal data is not sufficiently guaranteed;
- The designation of the competent authorities in relation to the processing of personal data is not consistent;
- There is a lack of a provision for independent determination of the value of data when data is forcibly made available to the government based on exceptional necessity.

The Minister of Economic Affairs and Climate

P.O. Box 20401
2500 EK THE HAGUE

Date

June 20, 2024

Our reference

2024-009055

Your letter dated

March 19, 2024

Your reference

DGED-DE / 46148816

Subject

Legislative assessment of the draft Implementation Act on Data Regulation

Date

June 19, 2024

Our reference

2024-009055

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Scope of the Draft

The present draft aims to implement Regulation (EU) 2023/2854 of the European Parliament and the Council of December 13, 2023, concerning harmonized rules on fair access to and fair use of data and amending Regulation (EU) 2017/2394 and Directive (EU) 2020/1828 (Data Regulation).

The Data Regulation (hereinafter: DR) specifically provides rules regarding the use of and access to data from connected products and rules that facilitate switching between different providers of data processing services. More specifically, the DR aims to ensure a fair distribution of the value generated from data among actors in the digital environment, stimulate a competitive data market, create

opportunities for data-driven innovation, and make data more accessible to everyone.

The DR pertains to both personal data and non-personal data and applies to data holders. These are (legal) persons who have the right or obligation to use or make data available. It can also involve authority based on agreement. The norm addressees are the user, data holder, data recipient, and the data subject. The latter refers to the individual as defined in Article 4, point 1, of the General Data Protection Regulation (hereinafter: GDPR).

The DR directly impacts the Dutch legal order, applies from September 12, 2025, and must then be enforceable in the Netherlands. Within that implementation, only limited policy space is provided for the member states. Member states must designate one or more competent authorities for the implementation, supervision, and enforcement of the DR. The DR prescribes which implementation tasks these authorities must at least perform and what powers for supervision and enforcement they must possess. The DR requires that the designated authorities must be able to perform their tasks and powers completely independently.

More specifically, the Implementation Act regulates the following points:

- The designation of the competent authorities;
- The cooperation between the competent authorities and with other supervisory bodies;
- Data sharing between the competent authorities;
- The designation of a data coordinator;
- Sanctioning;
- Amendment of the General Administrative Law Act, the Act on the Reuse of Public Sector Information, and the Databases Act.

Date

June 19, 2024

Our reference

2024-009055

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Legislative Assessment

Cooperation between the competent authorities in the processing of personal data

The Regulation (DV) prescribes close cooperation between the competent supervisory authorities.

Member States must ensure that the tasks and powers of the competent authorities are clearly defined, including cooperation with the relevant competent authorities responsible for the implementation of other Union or national legal acts, including the GDPR supervisory authority. In the Netherlands, this concerns the cooperation of the ACM under the DV and the AP under both the DV and the GDPR.¹

With the provision that the DV does not prejudice the GDPR, the EU legislator seems to aim for a balanced approach between the protection of personal data on the one hand and the internal EU data market on the other. As previously mentioned, the DV concerns both personal data and non-personal data, which theoretically implies a clear distinction between the two types of data. However, in practice, it can be anticipated that a large portion of the data could still be classified as personal data, resulting in processing under the GDPR. Therefore, careful consideration must be given to how the AP and the ACM should handle this in their cooperation.² It must be prevented that a situation arises where the ACM decides under the DV that data must be provided to a third party, while it is insufficiently established that there is a legal basis for this under the GDPR. Cooperation between the supervisory authorities must prevent the data controller from facing one authority that mandates disclosure and another authority that states that it is not permitted.

The concept does not sufficiently take into account these foreseeable situations in practice. If the ACM intends to make a decision under the DV that involves an obligation to share data, a safeguard for timely coordination is necessary. The mere obligation to notify the AP of such an intention each time seems sufficient for this purpose. The AP can then assess whether there is reason to further examine

whether personal data is involved, whether the intended decision may impose unlawful processing, and share these insights in a timely manner with the ACM. It will also be clear to third parties that the AP is involved in the preparation of the decision. The involvement can otherwise take shape in the normal cooperation agreements between the ACM and the AP.

The AP concludes that in Article 5 of the concept, the cooperation between the competent authorities in relation to the processing of personal data is insufficiently guaranteed and advises not to continue the procedure unless the objection is removed.

1 Article 37, paragraph 5, under g, and Recital 107 of the Data Regulation and Article 5 of the Implementation Act of the Data Regulation.

2 Recital 34 of the Data Regulation.

Date

June 19, 2024

Our reference

2024-009055

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Designation of the competent authorities in relation to the processing of personal data

The draft primarily serves to designate the authorities that will implement the Data Regulation (DV) in the Netherlands, mainly concerning supervision and enforcement. The DV provides member states with the flexibility to organize the implementation and enforcement tasks at the national level.³ The draft also includes provisions regarding the designation of competent authorities.

The DV creates a close relationship with the General Data Protection Regulation (AVG). Firstly, it is determined that the regulation does not affect the AVG in cases of the processing of personal data.⁴ The DV specifically designates the AVG supervisory authority as responsible for overseeing the application of the DV concerning the protection of personal data.⁵ The DV aligns with definitions from the AVG (including the definition of profiling and data subject under the AVG) and refers multiple times to provisions from the AVG. The draft essentially aligns with this by designating the Dutch Data Protection Authority (AP) as the supervisory authority on several points.⁶ It is self-evident that the AP supervises the application of the AVG and explains the concepts therein as necessary.

The DV contains provisions that specifically address the obligations of third parties who receive data at the request of the user. It explicitly refers to Union law and national law regarding the protection of personal data and to profiling as regulated in the AVG. However, supervision of these provisions is not assigned to the AP.⁷ A correct and uniform interpretation and explanation of these AVG aspects is essential. In the context of legal certainty, societal and technical developments surrounding profiling, and in line with the other provisions of the DV, the AP deems it necessary to be designated as the competent supervisory authority for both Article 6, paragraph 1, insofar as it concerns the processing of personal data, and Article 6, paragraph 2, under b, of the Data Regulation.

The AP concludes that Article 3 of the draft regarding the designation of the competent authorities in relation to the processing of personal data is not consistent, thus an adjustment of the article is warranted.

Provision for independent valuation of data when making data available to the government based on exceptional necessity

The AP is designated in the draft as the competent supervisory authority for Chapter V.¹ This chapter of the DV concerns the obligation of a data holder to make data available to certain governments in the public interest in cases of 'exceptional necessity'.¹

The DV provides for (some) compensation for costs associated with the provision itself but does not contain provisions regarding the compensation for the value of the data. According to the AP, however, it cannot be excluded that a claim for data as presented here constitutes an interference with the right to property that results in a loss of value. In such cases, there may be a claim for compensation for loss of value.⁸ The AP may be confronted with this issue since complaints regarding the obligation to

provide data based on exceptional necessity will be submitted to the AP as the supervisory authority for these provisions.

The draft does not contain procedural safeguards to address this, such as prior independent valuation. The AP believes that this could prove to be a problematic gap. A delegation basis to take timely measures as necessary therefore seems warranted.

Workload of the AP

New tasks arise for the AP from the draft. Given Article 52, paragraph 4, of the AVG, the additional costs associated with this - through the intervention of the Minister for Legal Protection - must be addressed. A forecast of these costs in the form of a feasibility and enforceability assessment conducted by the AP is already known to you. I sent a copy of this assessment to the Minister for Legal Protection.

Disclosure

This legislative assessment will be published on the AP's website within two weeks.

Yours sincerely,
Dutch Data Protection Authority,

Aleid Wolfsen
Chairman

8 Article 17 of the EU Charter and Article 14 of the Constitution.